would guide a final border settlement. In 2006, they agreed to put in joint bids for oil exploration in third countries. Bilateral trade boomed, going from $2.75 billion in 2000 to $42 billion in 2008.[39] When Pakistan and the smaller South Asian states proposed that China be admitted as an observer member of SAARC, India acquiesced. Yet, particularly in retrospect, the emerging alignments between India and the US on one side and China and Russia on the other presaged trouble for the India–China relationship. The alignments were both cause and effect. Delhi drifted closer to Washington to balance Beijing; Beijing and Moscow converged in their suspicion and resentment of Washington; and Washington began to leverage Delhi against the alliance of China and Russia and particularly against the 'senior partner' in that alliance, China.

In the summer of 2008, a series of bankruptcies in the US financial sector brought about the biggest slowdown in the US and Western economies since the Great Depression. There were knock-on effects all round the world, including in India and China. Indian and Chinese fiscal responses stemmed the damage, though, and their economies grew while the developed countries floundered. Out of the ashes of the global financial crisis, it was China that emerged the most impressively. Rising Chinese power and declining American power had been anticipated for almost a decade. Suddenly, the power transition was in motion in 'real time'. China's dramatic ascent would have an impact on the relationship of India, China, Russia, and the US and on India–China relations over the next decade.

Cold War Rivalry, 2009–Present

China's rise after 2008 pushed India and the US together. It also drew Russia further into the Chinese orbit. As the India–US partnership took shape against China, Moscow was poised between Delhi and Beijing but increasingly opposed to Washington. A new Cold War was taking shape.

An India–US partnership